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Case Number: 21STCV32502 Hearing Date: July 10, 2026 Dept: 224

Cerritos Retail CenterCal LLC v. Wokcano Cerritos, LLC et al.,

TENTATIVE RULING

The demurrer to the first cause of action for breach of contract is OVERRULED as to the breach of the 2019 Lease Amendment and SUSTAINED WITHOUT LEAVE TO AMEND as to the breach of the Lease.

Introduction

On September 1, 2021, Plaintiff/Cross-Defendant Cerritos Retail CenterCal, LLC filed a Complaint against Defendant/Cross-Complainant Wokcano Cerritos, LLC and Ka Wai Kwan arising out of a commercial lease for premises in Plaza 183, alleging breach of the lease and guaranty for unpaid rent.

On February 24, 2026, the Court heard Cross-Defendant's demurrer to the Second Amended Cross-Complaint, sustaining the demurrer to the breach of contract cause of action with leave to amend as to the Lease, overruling it as to the 2019 Lease Amendment, and overruling the demurrer to the fraud in the inducement cause of action.

On March 24, 2026, Cross-Complainant filed the operative Third Amended Cross-Complaint, asserting causes of action for breach of contract and fraud in the inducement.

On April 24, 2026, Cross-Defendant filed the instant Demurrer to the Third Amended Cross-Complaint, together with the supporting Declaration of Nahal Zarnighian.

On June 26, 2026, Cross-Complainant filed its Opposition.

On July 2, Cross-Defendants filed their Reply.

Meet and Confer

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether

an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (CCP §§ 430.41)

The Declaration of Nahal Zarnighian, executed on April 24, 2026, sets forth the meet and confer efforts of counsel for the Cross-Defendant, and counsel's attempts to resolve the discovery dispute informally through written correspondence and telephone. Counsel received no response. The Court notes that the parties did not successfully meet and confer. However, the Court exercises its discretion to address the merits of the demurrer.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-21.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not on the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

First Cause of Action: Breach of Contract

Cross-Defendant demurs on the grounds that Cross-Complainant has not stated a cause of action for breach of contract based on the Lease because the provisions newly cited in the TACC bear no relation to the alleged breaches. Cross-Defendant further demurs to the cause of action based on the 2019 Lease Amendment because the instrument is unsigned and non-binding and the allegations do not identify any provision of the Amendment that was breached.

To state a claim for breach of contract, a plaintiff must allege sufficient facts to establish: (1) a contract between the parties; (2) plaintiff's performance or excuse for nonperformance; (3) defendant's breach; and (4) damages to plaintiff from the breach. (Wall Street Network, Ltd. v. New York Times Co. (2008) 164 Cal.App.4th 1171, 1178.) A contract must be pled verbatim in the body of the complaint, be attached to the complaint and incorporated by reference, or be pled according to its legal effect. (Bowden v. Robinson (1977) 67 Cal.App.3d 705, 718.)

Here, the Cross-Complainant alleges the existence of two written agreements: the Lease dated April 22, 2016 (Exhibit 1) and the Lease Amendment entered into in April 2019 (Exhibit 2), both of which are attached to the TACC and incorporated by reference. (TACC, ¶¶ 6, 9.) Cross-Complainant alleges it performed its obligations under both agreements, including taking possession of the Premises, operating Noypitz, complying with Plaza 183 rules and regulations, and applying to the City of Cerritos for a Business License. (TACC, ¶ 12.)

Cross-Complainant alleges Cross-Defendants breached the Lease, now citing Article VI and Paragraph 6.2, Paragraph 25.1, and Article 2.01 of Exhibit C-1, by: (a) allowing large/anchor/credit-tenants to remain closed, thereby reducing visitors to Plaza 183; (b) failing to adequately advertise, market, and promote Plaza 183 for Cross-Complainant's benefit despite charging Tenant costs for the same; and (c) failing to build the mixed-use village. (TACC, ¶ 13.) Cross-Complainant further alleges Cross-Defendants breached the Lease Amendment by failing and refusing to cooperate with Cross-Complainant in connection with obtaining a Business License for live entertainment for the operation of Noypitz. (TACC, ¶ 14.) Cross-Complainant alleges damages of not less than \$700,000, claiming it was forced to terminate operations and return possession of the Premises as a direct and proximate result of the alleged breaches. (TACC, ¶ 15.)

2019 Lease Amendment

Cross-Defendant again attacks the sufficiency of the breach-of-contract claim as to the 2019 Lease Amendment, contending the Amendment is unsigned and non-binding, and that Cross-Complainant fails to cite any provision imposing a cooperation obligation regarding a business license.

The Court declines to revisit these arguments. The demurrer to the breach of the Lease Amendment was OVERRULED in the Court's February 24, 2026 Order. Cross-Complainant was not granted leave to amend that portion of the claim. A party may not use a subsequent demurrer to relitigate a ground the Court has already overruled; absent a motion for reconsideration under CCP section 1008, the Court will not render a new determination on the viability of a previously overruled claim. (See *Bennett v. Suncloud* (1997) 56 Cal.App.4th 91, 96-97.)

Moreover, the arguments are unchanged from the prior round. As the Court previously held, the enforceability of the Lease Amendment as an unsigned agreement is a factual question that cannot be resolved on demurrer and whether the cooperation clause extends to the business license for live entertainment raises a question of contract interpretation not properly resolved on demurrer. (*Sterling v. Taylor* (2007) 40 Cal.4th 757.) The Court adheres to those findings.

The demurrer to the first cause of action, to the extent premised on breach of the 2019 Lease Amendment, is OVERRULED.

Lease

The Court finds the breach of contract claim as to the Lease remains insufficiently pled. The Court's prior Order identified a single, specific deficiency in the Lease-based theory: Cross-Complainant alleged that Cross-Defendant breached the Lease by allowing anchor tenants to remain closed, failing to market Plaza 183, and failing to build a mixed-use village, but "[did] not identify any specific provision of the Lease that imposes these obligations on Cross-Defendants." The Court further observed that a review of the Lease revealed no such provisions, and that Paragraph 28.21 expressly reserves to the landlord the absolute right to determine tenancies in its sole business judgment and provides that the tenant does not rely on any representation regarding specific tenants.

In the TACC, Cross-Complainant has added citations to Article VI and Paragraph 6.2, Paragraph 25.1, and Article 2.01 of Exhibit C-1. (TACC, ¶ 13.) The alleged breaches, however, remain identical: (a) allowing anchor tenants to remain closed; (b) failing to advertise, market, and promote Plaza 183 while charging Tenant for the same; and (c) failing to build the mixed-use village.

The additions do not cure the deficiency. Identifying provisions of the Lease is not the same as identifying provisions that impose the obligations alleged to have been breached. Because the Lease is attached as an exhibit and may be considered on demurrer, the Court examines whether the cited provisions impose the pleaded obligations.

Article VI and Paragraph 6.2 concern Common Area operating, maintenance, and insurance charges payable by the Tenant. These provisions govern Cross-Complainant's payment obligations; they impose no duty on Cross-Defendant to keep anchor tenants open, to market the shopping center for individual tenants' benefit, or to construct a mixed-use village. (TACC, Exh. 1.)

Paragraph 25.1 concerns Cross-Defendant's rights as to development and expansion of Plaza 183. It confers rights on the landlord, but it does not impose an affirmative obligation to keep tenants open, advertise, or build a mixed-use village. (TACC, Exh. 1.)

Article 2.01 of Exhibit C-1 addresses construction work at the premises. It imposes no obligation regarding anchor-tenant operations, advertising, or mixed-use development. (TACC, Exh. 1.)

None of the cited provisions imposes the obligations Cross-Complainant claims were breached. The allegations are therefore contradicted by, or at minimum find no support in, the attached Lease, and the exhibit controls. Indeed, as the Court previously noted, Paragraph 28.21 affirmatively negates any reliance on the presence of specific tenants. The Lease-based breach theory remains deficient for precisely the reason identified in the prior Order.

Cross-Complainant has now had four opportunities to allege the cause of action. Cross-Complainant has not shown, in its opposition or otherwise, how further amendment could identify an obligation that does not exist in the document. Under these circumstances, the Court finds no reasonable possibility that the Lease-based theory can be cured by amendment.

Accordingly, the demurrer to the first cause of action is SUSTAINED, without leave to amend.

Conclusion

The demurrer to the first cause of action for breach of contract is OVERRULED as to the breach of the 2019 Lease Amendment and SUSTAINED WITHOUT LEAVE TO AMEND as to the breach of the Lease.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative ruling as the final or take the hearing off calendar at its discretion.